MalikTrades

WHY THE SETUPS WORK

The auction behind the Snap, the Flip and the Magnet

VP ACADEMY · 05

START HERE

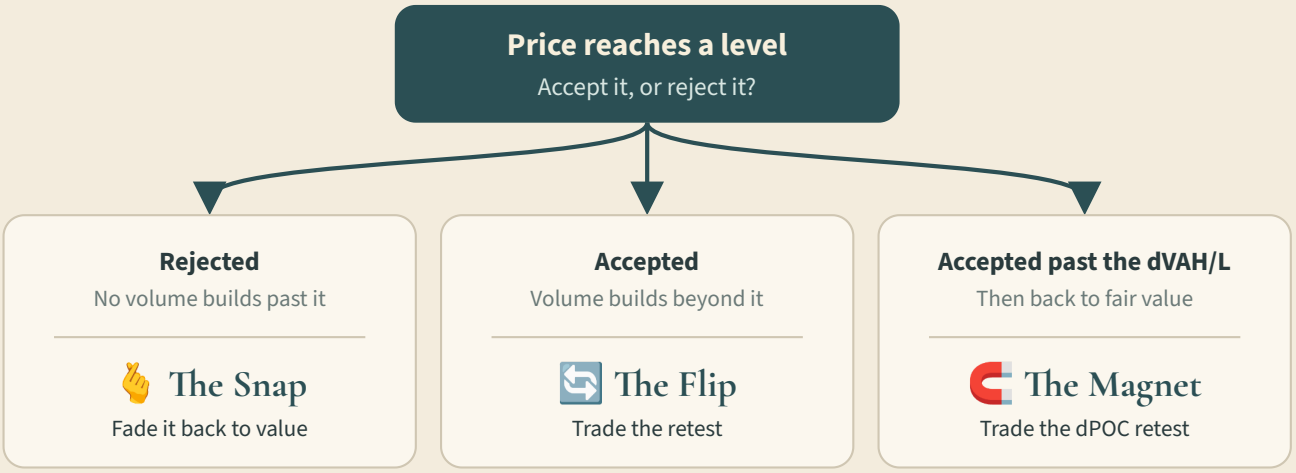
One Question

Every setup is an answer to it.

Does the market accept this price, or reject it?

Every time price reaches a level, the auction has to decide. Either it builds volume there and keeps going, or it can't, and it turns around.

The Snap, the Flip and the Magnet aren't three separate strategies. They're the three ways that question gets answered, and each one puts you on the side of the answer.



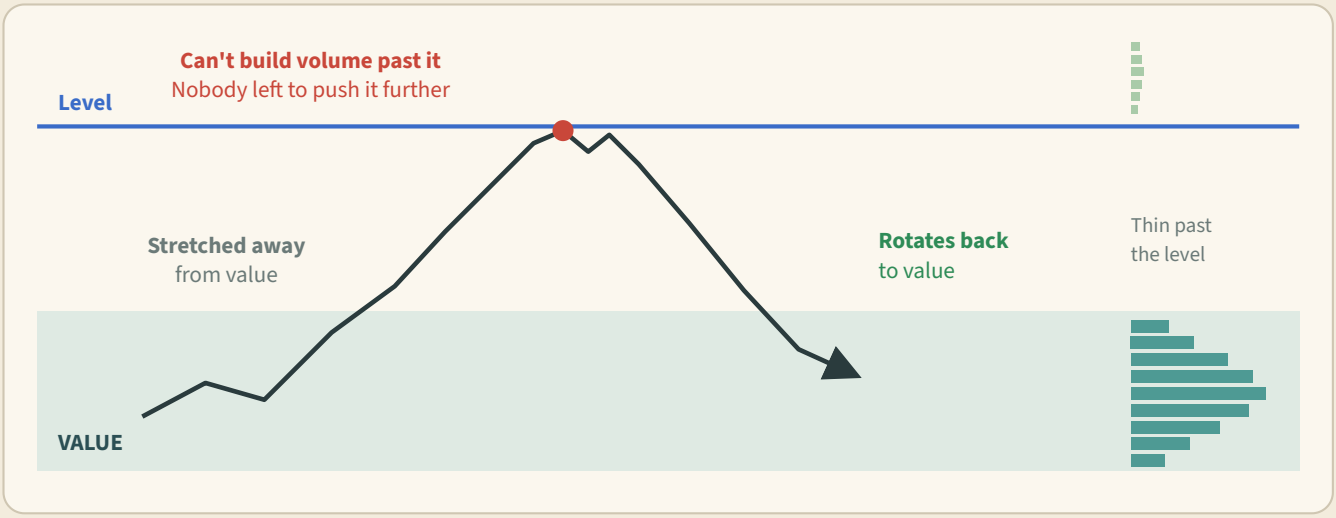
KEY TAKEAWAY

Read the answer first. The answer tells you the setup.

SETUP 01

Why the Snap Works

Rejection. Price runs out of fuel at the level.



1. **The level has memory.** It's a price the market already did business at, so orders are resting there waiting for price to come back.

2. **Price arrives stretched.** By the time it reaches a level, it's usually moved away from value into expensive or cheap prices.

3. **Nobody is left to push it.** If the auction can't build volume past the level, there's no one willing to keep trading at those prices. With no fuel, price rotates back to value.

WHY STACKED LEVELS ARE STRONGER

Every level you stack adds more resting orders at the same price. That's why an A or S grade Snap is higher probability than a lone C.

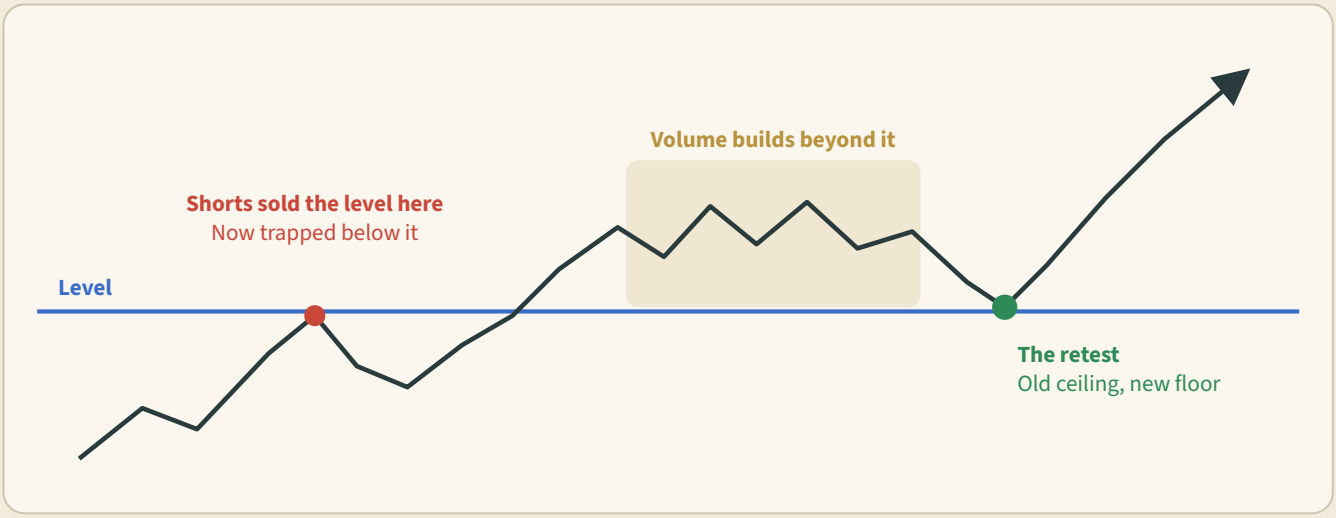
WHEN THE SNAP IS LOWER PROBABILITY

An HVN builds just above or below the level, price cuts through the dPOC with no reaction on the way there, or the dPOC sits just beyond the level. All three mean the market may be accepting new prices, not rejecting them.

SETUP 02

Why the Flip Works

Acceptance. The level switches sides.



1. **The market accepted new prices.** Price didn't just poke through the level. It built volume beyond it, which means the auction is happy doing business there.

2. **The other side is trapped.** Everyone who defended the level is now on the wrong side of it. When price comes back, they're looking to get out, and that adds fuel in your direction.

3. **The retest is the best price.** The move has already proven itself. The retest lets you join it at the level, with a tight stop on the other side.

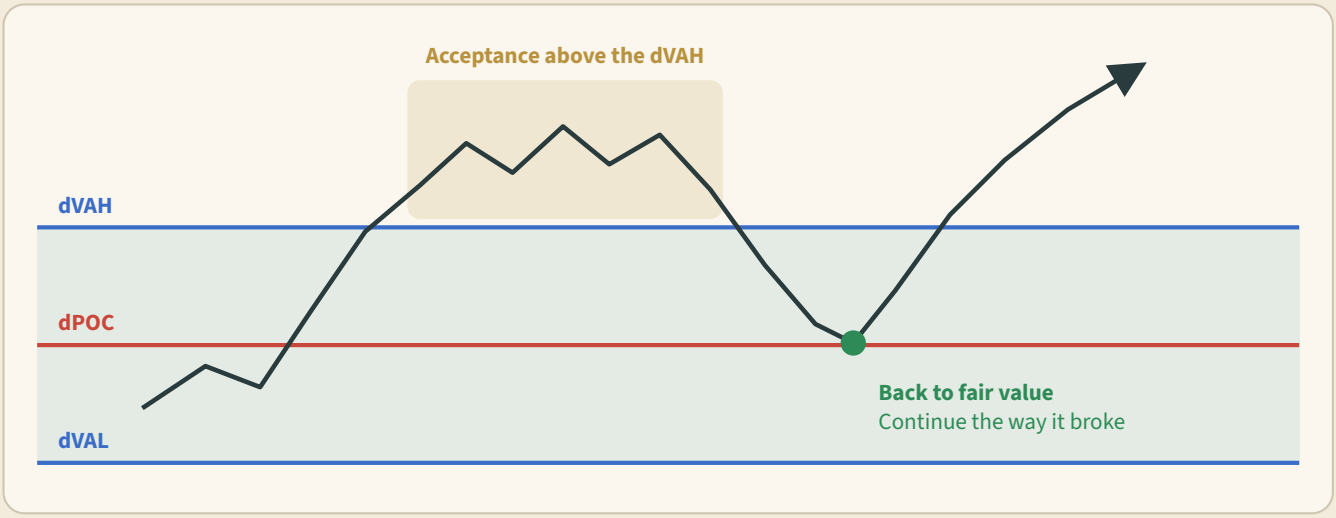
THE REINFORCED FLIP

If an HVN built at the level before it broke, that volume becomes a wall behind the retest. It reinforces the level, which makes the Flip even higher probability.

SETUP 03

Why the Magnet Works

Acceptance, then back to fair value.



1. **The dPOC pulls price back.** It's where the most business got done today, the fairest price of the session, so price keeps getting drawn back to it.

2. **Acceptance shows the direction.** When volume builds beyond the dVAH or dVAL, the market likes those new prices. Value is moving that way.

3. **You enter at fair value.** The pullback to the dPOC lets you join a direction the market has already chosen, at fair value instead of chasing it.

WHEN THE MAGNET IS LOWER PROBABILITY

Price goes past the dVAH or dVAL and snaps straight back without building any volume out there. The market rejected those prices, so there's no direction to continue, and the dPOC is just the middle of the range.

SUMMARY

All Three on One Page

One question, three answers.

SETUP	THE MARKET'S ANSWER	WHY IT WORKS
🫰 Snap	Rejected at the level	The level has memory, price is stretched, and nobody is left to push it further.
🔄 Flip	Accepted beyond the level	New prices are accepted, the defenders are trapped, and the retest is the best entry.
🧲 Magnet	Accepted past the dVAH/L, then back	The dPOC pulls price back, and acceptance shows which way to continue.

KEY TAKEAWAY

You're never guessing. You're waiting for the market to answer, then trading with the answer.

See every setup traded live in #setup-library.

Education only, not financial advice.